ANALYSIS · 2025 · AI GOVERNANCE · US–CHINA

The TikTok Ban Is Economic, Not Security

The official explanation is national security. The evidence points somewhere else. Between 2020 and 2024, the ban tracked market share far more closely than any intelligence finding.

The official story about the TikTok ban runs like this: a Chinese company is vacuuming up American user data, and under China's 2017 National Intelligence Law, that data could end up in Beijing's hands. It's a plausible story. The problem is what happens when you test it.

In 2020, the CIA and the Justice Department looked into the claims. They came back without concrete evidence. The algorithm might carry a risk. The data collection is real. But the same collection happens at Meta and Google, and Washington isn't talking about banning them. If the concern were really about user data, the obvious move would be a federal privacy law covering every platform. The US still doesn't have one.

The strongest evidence against the "one administration's obsession" reading is continuity. Trump demanded a sale or shutdown in 2020. Biden paused parts of that push, then Congress picked it up with new bills in 2023 and 2024, backed by both parties. Administrations changed; the pressure didn't. Policies that survive a change of government usually aren't personal preferences. They're structural interests.

TikTok's own response makes the same point from the other side. Under Project Texas, the company moved American user data to US-based storage with outside oversight, exactly the kind of technical fix a security problem calls for. The pressure didn't ease. When a company addresses the stated concern and the policy doesn't move, the stated concern probably isn't the operative one.

What the timeline does track, quite closely, is market share. Between 2020 and 2024, TikTok grew from a novelty into one of the largest advertising platforms in the country, cutting straight into Meta's territory. Analysts estimated that a ban would add somewhere near $431 billion in combined market value to Meta, Google, and Amazon. That's not background noise.

The economic motive shows up elsewhere too. ByteDance hit around $155 billion in annual revenue by 2024, roughly Meta's level. Washington's answer wasn't to regulate digital platforms across the board. It was to force one Chinese company to sell to American buyers or shut down, with Microsoft and Oracle waiting to buy. That's not how you handle a security threat. It's how you take out a competitor.

The realist reading is the simple one. States move to protect their economic position, and they reach for justifying language when they do. National security supplies that language cleanly. None of this proves the data worries are invented; they're real, and they're still unresolved. It proves that when those worries line up with commercial interests, the commercial interests tend to set the timing and shape of the response.

Put the two explanations side by side and the asymmetry is clear. The security hypothesis explains TikTok, and only TikTok, and only with evidence that stays theoretical. The competition hypothesis explains TikTok, Huawei, ZTE, and the semiconductor export controls with a single logic: limit the rise of Chinese technology capacity wherever it starts to win.

China's closed market looks different from the outside, but the logic underneath is the same. Beijing keeps foreign platforms out and calls it sovereignty. Washington pushes Chinese platforms out and calls it security. Both governments are running the same calculation; they just use different words for it.

The next decade of digital advertising will be worth several trillion dollars. The TikTok fight was, when you strip it down, about who ends up positioned to take it.